

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO.

CCMA, LLC.
COMPLAINANT,

v.

MAERSK A/S and PORTS AMERICA CHESAPEAKE, LLC
RESPONDENTS.

ANSWER OF RESPONDENT MAERSK A/S

Respondent Maersk A/S (“Maersk”), hereby answers the complaint in this proceeding as follows:

I. COMPLAINANT

1. Complainant CCMA is a corporation organized and existing under the laws of the State of Delaware, with a principal place of business at 450 Corporate Parkway Suite 100 Amherst, NY 14226.

Maersk lacks sufficient information to admit or deny.

II. RESPONDENTS

2. Maersk A/S is a Danish global ocean carrier company located at Esplanaden 50, DK-1098 Copenhagen, Denmark, with a United States office located at 180 Park Avenue, Building 105, PO Box 950, 07932 Florham Park, NJ. Maersk, by itself and through its common carrier subsidiaries and affiliated companies, provides container transportation and is the world's largest

container and supply vessel operator. Upon information and belief, at all relevant times, Maersk acted under its trade name Safmarine Inc. or through an agent under the name Safmarine Inc. Maersk is and was at all times pertinent to this Complaint a common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission ("FMC").

Admitted, except that Maersk denies it is the world's largest container and supply vessel operator.

3. Ports America Chesapeake, LLC ("PAC") is a corporation organized and existing under the laws of the State of Delaware with a principal place of business at 1209 Orange Street Wilmington, DE 19801. PAC is and was at all times pertinent to this Complaint a marine terminal operator ("MTO") within the meaning of the Shipping Act, 46 U.S.C. § 40102(15), subject to regulation by the FMC.

Paragraph 3 contains no allegations with respect to Maersk, and thus requires no response.

III. JURISDICTION

4. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984, as amended.

Admitted.

5. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. CCMA is seeking reparations for injuries caused to it by Respondents due to their violations of 46 U.S.C. § 41102(c).

The complaint speaks for itself. Accordingly, no response is required.

6. The FMC has personal jurisdiction over Maersk as a "common carrier" as defined in 46 U.S.C. § 40102(7).

Admitted.

7. The FMC has personal jurisdiction over PAC as a "MTO" as defined in 46 U.S.C. § 40102(15).

Paragraph 7 contains no allegations with respect to Maersk and thus requires no response.

8. Respondents' actions alleged herein constitute failures by each Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of CCMA, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§545.4 and 545.5.

Denied.

IV. FACTUAL ALLEGATIONS

9. In or about September 2019, CCMA purchased 16 containers of high carbon ferro chrome (the "Shipment") from Indian Metals and Ferro Alloys Ltd. ("IMFA").

Maersk lacks sufficient information to admit or deny.

10. Under the terms of the purchase agreement, IMFA was responsible for arranging delivery of the goods from India to the United States. IMFA delivered the goods in 400 bulk bags to a container freight station ("CFS") at the port of Visakhapatnam, India. The CFS then loaded the goods into 16 containers.

Maersk lacks sufficient information to admit or deny.

11. IMFA engaged Maersk to transport the Shipment from India to the United States. The 16 containers moved under Maersk bill of lading number SAFM586960330 (the "Shipment"). CCMA was listed as the consignee on the bill of lading.

Admitted.

12. Maersk designated the Seagirt Marine Terminal, which is operated by PAC, to process the Shipment at the Port of Baltimore.

Admitted.

A. Customs Hold and Examination

13. On December 13, 2019, the Shipment was flagged by U.S. Customs and Border Protection ("CBP") for a Customs review and agricultural inspection.

Admitted.

14. On December 18, 2019, the Shipment arrived at the Port of Baltimore.

Admitted.

15. On December 20, 2019, the Shipment was placed on a Customs hold pending further examination. From December 19-23, the containers were inspected by the CBP. The last free day for the purposes of demurrage was December 27, 2019.

Admitted.

16. On December 27, 2019, PAC informed CCMA that the CBP had found pests and seeds on two of the containers, which were sent out for identification. CCMA requested an extension of the free time from PAC, but its request was denied.

Maersk lacks sufficient information to admit or deny the content of communications between CCMA and PAC.

17. On January 2, 2020, CCMA again requested an extension of the free time by Maersk and PAC as Customs had not yet released the containers, but its requests were denied.

Maersk lacks a sufficient basis to admit or deny.

18. On January 14, 2020, the CBP issued an Emergency Action Notification ("EAN") for two of the containers, which were found to have seeds from an invasive weed on the outside of

the containers. The EAN required the cargo to be transloaded for delivery, and the two containers to be cleaned and subject to re-exportation out of the United States.

Maersk lacks a sufficient basis to admit or deny.

19. On January 15, 2020, CCMA sent a copy of the EAN to PAC and requested information regarding the next steps to transload the cargo and clean the two containers. PAC provided no response.

Maersk lacks a sufficient basis to admit or deny the content of communications between CCMA and PAC.

20. From January 16-21, the EAN was revised several times, which delayed re-exporting the two containers and obtaining the release of the remaining 14 containers.

Maersk lacks a sufficient basis to admit or deny.

21. On January 17, 2020, CCMA contacted PAC on the next steps to re-export the two containers. At that time, PAC advised CCMA that it would need to obtain release numbers from Maersk. CCMA then contacted Maersk asking for release numbers and was told it would need to (1) provide the EAN and (2) create an export booking on Maersk's website.

With respect to the first and second sentences, Maersk lacks a sufficient basis to admit or deny the content of communications between CCMA and PAC. Maersk admits the third sentence.

22. On January 21, 2020, the CBP released the customs hold on 14 of the containers and authorized the two containers to be transloaded and re-exported. CCMA contacted Maersk regarding the re-export of the two containers and received no response.

Maersk admits the first sentence and denies the second sentence.

23. On January 22, 2020, CCMA requested an extension of the free time from Maersk, or in the alternative, a reduction in demurrage and detention charges, but its request was denied. Maersk advised that it does not extend free time due to Customs holds.

Admitted.

23. On January 23, 2020, 13 of the containers were picked up from the Port, and the last container was picked up on January 24, 2020.

Admitted.

24. PAC assessed demurrage charges on the 16 containers in the amount of \$134, 655. CCMA was required to pay the assessed demurrage charges in order pick up the Shipment.

Admitted.

B. Demurrage

25. Both Maersk and PAC refused to extend the last free day for the Shipment and/or waive or reduce the accrued demurrage. In communications with Maersk and PAC, both stated that it is their respective policies and practices not to waive or reduce demurrage assessed under these circumstances and refused to waive or reduce the demurrage charges and/or extend free time.

Maersk admits paragraph 25 as to itself. Maersk lacks a sufficient basis to admit or deny the allegations of paragraph 25 as to PAC.

26. Due to the significant delays, which were outside of CCMA's control, CCMA was assessed demurrage charges in the total amount of \$134, 655 in connection with the Shipment.

Maersk admits the amount of demurrage charges, but denies the remainder of paragraph 26.

27. The demurrage charges at issue were assessed at both the base and penalty levels while the containers at issue were unavailable due to government holds.

Maersk denies the allegations of paragraph 27 on the grounds that the term “base and penalty levels is ambiguous. Maersk admits only that it assessed demurrage in accordance with the terms of its tariff.

28. On January 2, 2020, CCMA attempted to discuss the demurrage charges with Maersk, and PAC. Maersk claimed that because PAC was collecting the charges any waiver or reduction in demurrage charges would be the responsibility of PAC. Further, on January 3, 2020, PAC claimed that it could not extend free time without Maersk's approval. CCMA has made numerous attempts to obtain an extension of the free time or resolve the contested demurrage charges with Maersk and PAC without success.

Maersk admits the first and second sentences. Maersk lacks a sufficient basis to admit or deny the third sentence. Maersk admits the fourth sentence as to itself.

V. VIOLATIONS OF THE SHIPPING ACT

30. Section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) prohibits a common carrier or marine terminal operator from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

Paragraph 30 requires no response, as the Shipping act speaks for itself.

31. Respondent Maersk is an ocean common carrier as defined by the Shipping Act.

Admitted.

32. Respondent PAC is a marine terminal operator as defined by the Shipping Act.

Paragraph 32 contains no allegation with respect to Maersk and thus requires no response.

33. Respondents' practices and regulations relating to the assessment of demurrage are directly related to receiving, handling, storing, or delivering property, are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.

Maersk admits demurrage is related to receiving, handling, storing or delivering property, and further admits that it charges demurrage on a normal, customary, and continuous basis. Maersk denies its practices and regulations relating to the assessment of demurrage are unjust and unreasonable.

34. Respondents have failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges against shipments, including the Shipment, that are subject to a governmental hold for examination by Customs, and therefore, unavailable for pick-up.

Denied.

35. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges that serve no incentivizing principle and do not promote freight fluidity.

Denied.

36. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by refusing to extend free time and/or waive or reduce demurrage charges for the Shipment, which was unavailable for pickup.

Denied.

VI. CAUSATION AND INJURY TO COMPLAINANT

37. As a result of Respondents' violations of the Shipping Act, the Complainant has sustained injuries and damages in the amount of \$134, 655.

Denied.

VII. ALTERNATIVE DISPUTE RESOLUTION

38. CCMA made numerous unsuccessful attempts to resolve this matter with Maersk and PAC prior to filing this Verified Complaint. On February 26, 2020, in an effort to resolve this

matter, CCMA submitted its complaint to the FMC's Office of Consumer Affairs & Dispute Resolution Services ("CADRS") but was unable to obtain a resolution of the matter.

Paragraph 38 requires no response.

VIII. PLACE OF HEARING

39. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 205730001.

Maersk likewise requests a hearing on this matter in Washington, D.C.

IX. AFFIRMATIVE DEFENSES

1. The complaint fails to state a claim for which relief can be granted.
2. Demurrage was incurred as a result of the act and/or omission of complainant and/or its agent(s).
3. Maersk's actions were reasonable under the circumstances.

X. PRAYER FOR RELIEF

WHEREFORE, Maersk respectfully requests that after due hearing the complaint be dismissed with prejudice.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Wayne Rohde", written over a horizontal line.

Wayne Rohde
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Counsel for Maersk A/S

March 7, 2022

VERIFICATION

I, Kimberly Purpera, am the Customer Experience Manager of Maersk Agency USA, Inc., the wholly-owned subsidiary and U.S. general agent of Maersk A/S. I am authorized to make this verification on behalf of Maersk A/S. I declare and attest under penalty of perjury that I have read the forgoing Answer believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: March 7, 2022:



CERTIFICATE OF SERVICE

I hereby certify that I have this 7th day of March, 2022, served the foregoing Answer on each of the following:

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Wayne Ronde